

6.	PC20200191	GREEN ET AL. vs. SNIPES CONSTRUCTION ET AL.
Good Faith Settlement		

This action rises from the 2013 contract for construction services for which Defendant/Cross-Complainant Snipes Construction Inc. and Tim Andrew Snipes (“Snipes”) served as general contractor and retained numerous subcontractors to perform the work, including LR Landscaping and Bonar Engineering, Inc. (“Bonar”). The prime contract specified construction costs in the amount of \$2,319,848. Bonar was retained as a subcontractor to perform excavation and rough grading, especially of the driveway area, which was then covered by pavers by other subcontracting companies, including LR Landscaping.

Plaintiff filed a complaint regarding these services in 2020. By 2021, dozens of subcontractors had been added to the litigation as defendants and cross-defendants. Plaintiff’s expert estimated the total costs of repair of defects to be over \$5 million. In 2025 settlement discussions resulted in a total settlement amount of \$1,466,500 applicable to roughly a dozen of the defendants and cross-defendants, including Snipes but not including Bonar. LR Landscaping proposed settlement terms would add an additional \$25,000 to the total settlement amount, for a total of \$1491,500.

Defendant/Cross-Complainant Snipes and LR Landscaping request the Court’s approval of their proposed settlements pursuant to Code of Civil Procedure § 877.6. If these settlement proposals are approved, Bonar would have no further recourse to any of these settling Defendants for indemnification or contribution.

The Court denied a previous motion for approval of settlement based on Bonar’s objection, on the grounds that the proposed settlement did not provide sufficient evidence of the comparative liability of the settling parties, such that the interests of the non-settling parties such as Bonar could be prejudiced by the settlement. Bonar asserts that the proposed settlement does not make it possible to determine what damages have been paid, what damages remain and/or what, if any offset Bonar is entitled to as a result of the settlement.

Procedural History

On July 8, 2025, and September 12, 2025, respectively Defendant/Cross-Complainant Snipes and Cross-Defendant LR Landscaping filed Applications for Determination of Good Faith Settlement. These proposed settlements did not include Bonar, which opposed them. These motions were considered by the Court at a hearing on December 19, 2025, and in a written ruling filed on January 2, 2026, the Court denied both motions because they did not satisfy the Tech-Bilt factors outlined below. Specifically, the Court found that the motions inadequately articulated the allocation of the proportionate liability of the settling parties that is necessary to ensure fairness to non-settling parties. In an Order dated January 2, 2026, the Court stated:

[T]he settling parties as to both motions have failed to provide sufficient evidentiary support that their respective settlements are in the ballpark, given the absence of sufficient evidence regarding their comparative liability [T]he court finds it conceivable that renewed motions that provide evidence regarding the comparative liability of the settling parties and the value of the settlement as to each damages category could pass muster. Such a settlement could then provide a foundation for determining the offsets to which Bonar may be entitled.

On February 23, 2026, and March 2, 2026, respectively, Snipes and LR Landscaping filed a Second Motion for Determination of Good Faith Settlement, based on the outcome of mediation that resulted in a total settlement amount of \$1,466,500 applicable to seven Defendants.

The damages category that is relevant to Bonar is work on the driveway. Bonar notes that Plaintiffs claim \$600,000 worth of damages associated with the driveway. The Declaration of James LaCroix, dated February 5, 2026, submitted in support of Snipes' motion, states that the total cost for removal and reinstallation of pavers that cover the surface of the driveway would amount to about \$30,000, not including materials. Thus, LaCroix concludes that the \$25,000 settlement amount for LR Landscaping is a reasonable estimate.

Opposition

Bonar Engineering again opposes both motions on the grounds that:

- 1) They fail to satisfy the disclosure and evidentiary requirements of Code of Civil Procedure § 877.6 and the standards articulated in Tech-Bilt, Inc. v. Woodward-Clyde & Assoc. (1985) 38 Cal.3d 488 ("Tech-Bilt"); and
- 2) Neither motion provides the data necessary for the Court to make an informed "ballpark" determination of good faith.

Standard of Review

The matter is governed by Civil Procedure § 877.6, the pertinent provisions of which are reproduced below:

(a)(1) Any party to an action in which it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff or other claimant and one or more alleged tortfeasors or co-obligors,

* * *

(b) The issue of the good faith of a settlement may be determined by the court on the basis of affidavits served with the notice of hearing, and any counteraffidavits filed in response, or the court may, in its discretion, receive other evidence at the hearing.

(c) A determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.

(d) The party asserting the lack of good faith shall have the burden of proof on that issue.

The California Supreme Court defined the analysis required in applying Code of Civil Procedure § 877.6 in the case of Tech-Bilt, Inc. v. Woodward-Clyde & Assocs., 38 Cal. 3d 488 (1985). The Court established the following factors to be considered by a trial court in determining whether to approve a proposed settlement meets the “good faith” standard, which is to be made on the basis of information available at the time of settlement:

- (1) The amount paid in settlement;
- (2) The allocation of settlement proceeds among plaintiffs;
- (3) Whether the amount of the settlement is within the reasonable range of the settling tortfeasor's proportional share of comparative liability for the plaintiff's injuries, which requires “a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability”; this settlement amount must not be “grossly disproportionate to what a reasonable person, at the time of settlement, would estimate the defendant’s liability to be.”¹ Tech-Bilt at 499.
- (4) A recognition that a settlor should pay less in settlement than he would if he were found liable after a trial.
- (5) The financial conditions and insurance policy limits of settling defendants,
- (6) The existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants.

The determination as to whether a settlement is in good faith is a matter left to the discretion of the trial court. Tech-Bilt, at 502. This evaluation requires a sufficient evidentiary basis, through affidavits, declarations and other evidence to allow the court to make findings to support the exercise of its discretion in approving or disapproving the proposed settlement. These findings must be supported by substantial evidence. Toyota Motor Sales U.S.A., Inc. v. Superior Ct., 220 Cal. App. 3d 864, 871 (1990). It is an abuse of discretion for the trial court to find a good faith settlement where there is insufficient evidence presented on the issues to be considered, and a continuance may be required for the purpose of gathering further evidence if

¹ “The party asserting the lack of good faith, who has the burden of proof on that issue . . . , should be permitted to demonstrate, if he can, that the settlement is so far “out of the ballpark” in relation to these factors as to be inconsistent with the equitable objectives of the statute. Such a demonstration would establish that the proposed settlement was not a “settlement made in good faith” within the terms of section 877.6.” Tech-Bilt at 499-500.

there is not sufficient information already in the record before the court. City of Grand Terrace v. Superior Ct., 192 Cal. App. 3d 1251, 1264-1265 (1987).

In determining “a rough approximation” of the total amount of Plaintiff’s damages, it is not sufficient to rely on the amount stated in the Complaint. West v. Superior Ct., 27 Cal. App. 4th 1625, 1636 (1994), citing Horton v. Superior Ct., 194 Cal. App. 3d 727, 735, (1987).

Lack of Allocation

In opposing the first motions for approval of Good Faith Settlement, Bonar argued that it could not ascertain its statutory offset rights under Code of Civil Procedure § 877. In the case of the Snipes Motion, Bonar argued that it presents a lump sum payment of \$1,466,500 from multiple defendants, without any allocation between (1) the settling parties’ comparative liability; (2) damages categories (contract, tort, license bond claims); (3) past and future damages; and/or (4) Plaintiffs’ alleged injuries.

In the case of the LR Landscaping Motion, Bonar argued that the settlement proposal simply repeated the same \$1.466 million “global” settlement set forth in Snipes’ Motion, then inserted LR Landscaping’s \$25,000 contribution to reach a total of \$1.491 million. Bonar argued that LR Landscaping does not attempt to (1) identify what portion of the \$1.491 million payment corresponds to the claims or damages attributed to its own trade (landscape/paver installation); (2) differentiate between the value assigned to Snipes’ general-contractor exposure versus the other subcontractors’ trades; or (3) explain the relationship between the \$25,000 payment and the \$5.13 million cost-of-repair estimate prepared by Plaintiffs’ expert.

Instead, the Motion asserts, in conclusory fashion, that the global settlement was “the product of arms-length negotiations” and “a rough approximation of total recovery”. Such conclusory assertions do not satisfy Tech-Bilt’s evidentiary burden. (Mediplex, supra, 34 Cal.App.4th [748] at 754 [“Without a factual basis for the amount paid and the proportionate liability of each settlor, the court has nothing to measure.”]; TSI Seismic Tenant Space v. Superior Court (2007) 149 Cal.App.4th 159, 166.) The omission is particularly significant here because LR Landscaping’s work (limited to the installation of exterior pavers and walkways) represents only a small portion of the overall project scope. The record provides no evidence of any claimed defects in that work, no expert repair estimate for paver or drainage issues, and no comparative-fault analysis linking LR Landscaping to Plaintiffs’ claimed \$5.13 million damages. The mere assertion that its \$25,000 contribution is “included with” the Snipes settlement offers the Court no means of evaluating proportionality or “ballpark” fairness.

Opposition to Motions for Good Faith Settlement at 5:18-6:2 (filed October 20, 2025).

With respect to Snipes’ second motion, Bonar argues that Snipes does not present any new evidence on which the Court can evaluate the Tech-Bilt factors, stating in its Opposition:

- (1) there is no allocation of the \$1,491,000 million settlement between parties or causes of action,
- (2) there is no evidence or analysis of the proportionate liability of the settling parties, and
- (3) there is insufficient information provided for the Court to determine whether the settlements are in the Tech-Bilt "ballpark", and therefore cannot be found to be in "good faith", other than referencing a proposed \$25,000 offset related to LR Landscaping.

With respect to LR Landscaping's second motion, Bonar argues that it adopts Snipes arguments with the single difference that it references an offset of \$25,000 for LR Landscaping's offset to the global settlement amount:

The only concrete allocation evidence in the record comes from Plaintiffs' consultant Carrera Construction. Carrera assigns a hard-cost figure of \$639,242.59 to "Rough Grading," with associated soft-cost allocations, and expressly places that entire grading category on Garcia's Excavating, John Joseph Souza dba Souza's Custom Homes, and Bonar Engineering. LR Landscaping's motion cites that allocation to emphasize that "LR Landscaping did not perform any rough grading on the project" and that "there was no allocation to the driveway or the pavers, and there were no other claims of damages or allocations that LR Landscaping would fall under." In other words, LR Landscaping's own motion confirms that Plaintiffs' only quantified allocation matrix assigns the driveway-related repair bucket entirely to non-settling entities such as Bonar, and assigns nothing to LR Landscaping.

Bonar's Opposition to LR Landscaping's Motion, pp. 6-7, filed March 27, 2026.

LR Landscaping's Reply counters that its second motion does pass muster under the applicable standards. First, it notes that the Plaintiff's allegations of damages to the driveway where both Bonar and LR Landscaping's work was performed identifies the problem as differential settlement of fill, 2) required repairs that are identified involve grading, not the placement of surface pavers, and 3) the restoration of pavers that would be needed after the grading and fill issues are addressed are within the "ballpark" of LR Landscaping's proposed settlement terms.

The Court agrees. Attached to LR Landscaping's motion are the following reports and expert opinions that frame the proposed \$25,000 as "within the ballpark" of LR Landscaping's share of liability and apportioned share of the cost of repair:

1. Wallac-Kuhl report (Exhibit A) that concludes that the area in which LR Landscaping performed its work was affected by "differential settlement of rocky fill and the rockery wall". Neither the original work nor the proposed repair involved LR landscaping's scope of work.
2. The 2021 Carrera Report (Exhibit B), that estimates grading repair recommendations on the order of \$500,000 for both the driveway and another area near a pool, which would

include removal and replacement of pavers installed by LR Landscaping in order to access the area below the pavers.

3. The 2022 and 2023 Carrera Reports (Exhibits C and D) that estimates grading repair recommendations on the order of \$600,000, also involving removal of LR Landscaping' pavers in order to access the substrate below for re-grading.
4. Declaration of James LaCroix (Exhibit E) estimating the removal and replacement of pavers installed by LR Landscaping at approximately \$30,000.
5. Declaration of Kory Krukenberg (Exhibit F) that estimates the removal and replacement of pavers installed by LR Landscaping at between \$20,000-\$40,000, and further concluding that LR Landscaping should only be allocated one-third of that responsibility, between \$6,000 and \$14,000.

As to the Snipes motion, the Declaration of William Morrow, dated March 2, 2026, para. 9, states that Snipes considers the negotiated settlement amount to be more representative of actual repair costs than the Plaintiffs' initial estimates. The fact that the Plaintiffs appear willing to accept this settlement proposal supports this notion: The proposed settlement would release the general contractor from the litigation even though the Plaintiffs consider the general contractor to be "implicated in each of the categories of work performed" and liable for any costs not expressly attributable to a specific subcontractor in the Plaintiffs allocation of responsibility. LR Landscaping's Second Motion for Determination of Good Faith Settlement, Exhibit D (2022 Carrera Report PLF000168, note 1.) It is also consistent with the Tech-Bilt factor that recognizes that "a settlor should pay less in settlement than he would if he were found liable after a trial."

Taking the negotiated settlement amount at face value, the allocation of liability reproduced on page 11 of Snipes' Memorandum of Points and Authorities in support of the motion shows the amount of Snipes contribution as 68.19% of the total settlement amount for this group of defendants.

Bonar's work was limited to grading and excavation. Souza's Custom Homes is one of the settling Defendants, and is the only rough grading contractor that is included in the proposed settlement in the same category of work performed by Bonar. "Rough grading" contractors were estimated to bear approximately 17% portion of responsibility by Plaintiffs' expert. Souza would be absolved of further liability by paying \$75,000, or roughly 5% of the total repair costs as represented by the proposed settlement amount. This would leave the other two non-settling grading contractors, Bonar and Garcia's Excavating, potentially responsible for the balance of the \$253,470 rough grading repair costs (17%), approximately \$90,000 for each of the two non-settling subcontractors. Again, assuming the settlement amount represents actual repair costs, this \$90,000 share to each of the other two non-settling grading contractors is in the ballpark of the \$75,000 proposed to be paid by Souza.

Accordingly, the Court finds the proposed settlement terms to be in good faith and “within the reasonable range of the settling tortfeasor's proportional share of comparative liability for the plaintiff's injuries.”

TENTATIVE RULING #6: LR LANDSCAPING’S AND TIM ANDREW SNIPES/SNIPES CONSTRUCTION’S MOTIONS FOR DETERMINATION OF GOOD FAITH SETTLEMENT ARE GRANTED.

NO HEARING ON THIS MATTER WILL BE HELD UNLESS A REQUEST FOR ORAL ARGUMENT IS TRANSMITTED ELECTRONICALLY THROUGH THE COURT’S WEBSITE OR BY TELEPHONE TO THE COURT AT (530) 621-6551 BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. CAL. RULE CT. 3.1308; LOCAL RULE 8.05.07; SEE ALSO LEWIS V. SUPERIOR COURT, 19 CAL.4TH 1232, 1247 (1999).

NOTICE TO ALL PARTIES OF A REQUEST FOR ORAL ARGUMENT AND THE GROUNDS UPON WHICH ARGUMENT IS BEING REQUESTED MUST BE MADE BY TELEPHONE OR IN PERSON BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. CAL. RULE CT. 3.1308; EL DORADO COUNTY LOCAL RULE 8.05.07. PROOF OF SERVICE OF SAID NOTICE MUST BE FILED PRIOR TO OR AT THE HEARING.

LONG CAUSE HEARINGS MUST BE REQUESTED BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED AND THE PARTIES ARE TO PROVIDE THE COURT WITH THREE MUTUALLY AGREEABLE DATES ON FRIDAY AFTERNOONS AT 2:30 P.M. LONG CAUSE ORAL ARGUMENT REQUESTS WILL BE SET FOR HEARING ON ONE OF THE THREE MUTUALLY AGREEABLE DATES ON FRIDAY AFTERNOONS AT 2:30 P.M. THE COURT WILL ADVISE THE PARTIES OF THE LONG CAUSE HEARING DATE AND TIME BY 5:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. PARTIES MAY PERSONALLY APPEAR AT THE HEARING.